

\$16.7**BILLION**

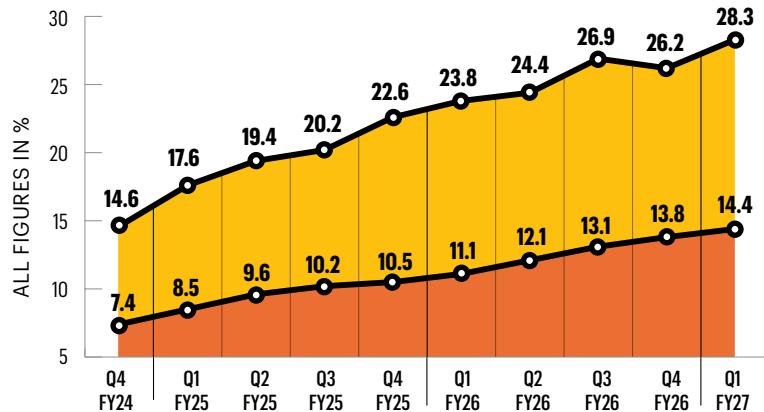
MARKET CAP ON
AUGUST 17, COMPARED
WITH \$14.7 BILLION
AT THE END
OF FY24

6.6**PER CENT**

YOY REVENUE
GROWTH IN THE
FIRST QUARTER,
DOUBLE THE NUMBER
REPORTED BY TCS

IMPROVING FINANCIAL METRICS

• Key financials like EBIT margins and ROCE have been improving over the last 10 quarters



■ EBIT MARGINS ■ ROCE

*EBIT EARNINGS BEFORE INTEREST AND TAXES

ROCE RETURN ON CAPITAL EMPLOYED

ganic and a result of going after profitable and sustainable deals. This makes him confident that the company will be able to weather the current uncertainty, even if there are a few bumps along the way. The deal wins are starting to translate into revenue growth, Anand says, as seen in the previous quarter.

Jimit Arora, CEO, Everest Group, points out that large deal ramp-ups could increase onsite intensity and put pressure on margins, while vendor consolidation will require providers to be disciplined about the economics of the business they pursue. "The next phase will require sustained execution because Tech Mahindra will need to sustain growth while protecting the margin gains it has created," he says.

Meanwhile, there is still room to leverage some of the operational levers the company has been focusing on over the last two years, says Soneja. Alongside, the company continues to increase its share of business from other sectors such as BFSI, manufacturing, healthcare and retail, and reduce its dependence on telecom.

AN INDUSTRY IN TRANSITION

While AI is creating uncertainty over the existing business and revenue model for technology services firms, it is clear that the industry is on the cusp of a larger transition. "AI is causing compression in traditional IT services. At the same time, it is creating significant new demand around helping clients build new systems of execution and redesign enterprise

operating models.... For IT services, this means migrating from the revenue pools being compressed towards the new ones being created," says Arora.

A lot of this will once again come down to disciplined execution.

Joshi is confident that AI will be a bigger opportunity for the company than a disruption. The company has put in place a new strategic roadmap to drive this change. "The AI opportunity is humongous for the industry to transform itself, and that's not going to happen automatically. You need a huge system integrator play," says Anand.

The work done over the last two years puts Tech Mahindra in a good position to drive these changes. "Tech Mahindra is navigating the inflection point in the sector with a stronger position than it did two years ago. FY27 will be an important proof point. The longer-term measure of success will be whether it can convert the operat-